

OCAD - ONE COMPANY A DAY

SERIES: SEMICONDUCTOR

ASML

ASML Holding N.V.

ASML | NASDAQ Global Select Market (New York Registry Shares)

USD 1,808.49

Closing price, Thursday 1 October 2026 (latest completed trading day)



ASML daily closing price, USD per share, 30 June 2026 to 1 October 2026. Source: Alpha Vantage daily price series.

REPORT DATE
2 October 2026

ANALYST
Arthur Faugeron

COUNTRY
Netherlands

SECTOR
Semiconductor Equipment

Executive Summary

Sourced figures are quoted from company releases and market data; items labelled Reasoned are analyst interpretation. Company financial statements are reported in euros (EUR, IFRS as adopted in the EU); the New York share price is in US dollars (USD). Conversions use EUR/USD 1.1251 on 2 October 2026 (Sourced, Alpha Vantage).

Business

ASML designs, builds and services photolithography systems, the machines that print circuit patterns onto silicon wafers, and is the only commercial supplier of extreme ultraviolet (EUV) lithography. Revenue comes from new system sales (EUR 24.5bn in FY2025, 75% of sales) and from the service, upgrade and field option business on its installed base (EUR 8.2bn, 25%); customers are the leading logic and memory chipmakers and sales are concentrated in Asia (EUR 28.1bn of EUR 32.7bn in FY2025). (Sourced: ASML 2025 annual report.)

Financial Condition

FY2025 net sales were EUR 32.7bn (+15.6%), gross margin 52.8%, operating income EUR 11.3bn (34.6% margin), net income EUR 9.6bn and free cash flow EUR 11.0bn (Operating cash flow EUR 12.7bn less capex EUR 1.6bn). Trailing twelve months to June 2026: net sales EUR 35.3bn, net income EUR 10.6bn, EBITDA EUR 13.5bn (Calculated from quarterly filings). The balance sheet holds EUR 7.6bn of cash and short-term investments against EUR 2.0bn of debt at 30 June 2026, a net cash position of EUR 5.6bn.

Market Position

Main competitors in lithography are Canon and Nikon, which are limited to older deep ultraviolet (DUV) and i-line classes; in the wider wafer fabrication equipment market ASML shares customers and budgets with Applied Materials, Lam Research, Tokyo Electron and KLA (Reasoned). Its major advantage is a sole-source position in EUV; its major weakness is exposure to a small group of customers and to export-control policy toward China.

Valuation

At USD 1,808.49 the market capitalization is about USD 698m (EUR 620.0bn) and enterprise value about EUR 614.4bn (Calculated: price x 385.7m shares at 30 June 2026, less net cash). Trailing P/E is 58.3x, EV/EBITDA 45.5x, P/FCF 55.9x on FY2025 free cash flow, and EV/Sales 17.4x on trailing sales. Alpha Vantage lists a forward P/E of 28.9x (Sourced).

Investment Framework

SUMMARY ASSESSMENT (REASONED)

What is attractive? A monopoly in EUV, 52 to 54% gross margins, 37% operating margin and net cash. **What is concerning?** A multiple that already discounts a multi-year upcycle and cyclical, concentrated demand. **What must go right?** Management guidance of EUR 43 to 45bn for 2026 sales must be met and extended into 2027 as customers add capacity. **What could break the thesis?** A pause in logic or memory capital expenditure, export restrictions or a loss of EUV lead. **What appears priced in?** Revenue compounding well above the 2026 guided level for several years with margins at or above 40% (see Section C5).

Investment Profile

Dimension	Assessment (Reasoned)
Business quality	Very high: sole supplier of a critical tool, large recurring service base
Financial quality	High: strong cash conversion, net cash, 54% ROE (Sourced, Alpha Vantage)
Competitive position	Very strong moat in EUV, strong in advanced DUV immersion
Growth profile	Strong, cyclical: 2026 guided at EUR 43 to 45bn versus EUR 32.7bn in 2025
Balance-sheet risk	Low: debt EUR 2.0bn, net cash EUR 5.6bn, but large customer prepayments in liabilities
Valuation	Demanding on trailing and DCF measures; moderate on forward earnings
Market and technical profile	Uptrend above 50-day and 200-day averages, high volatility, near 52-week high

A. About the Business

A1. Business Environment

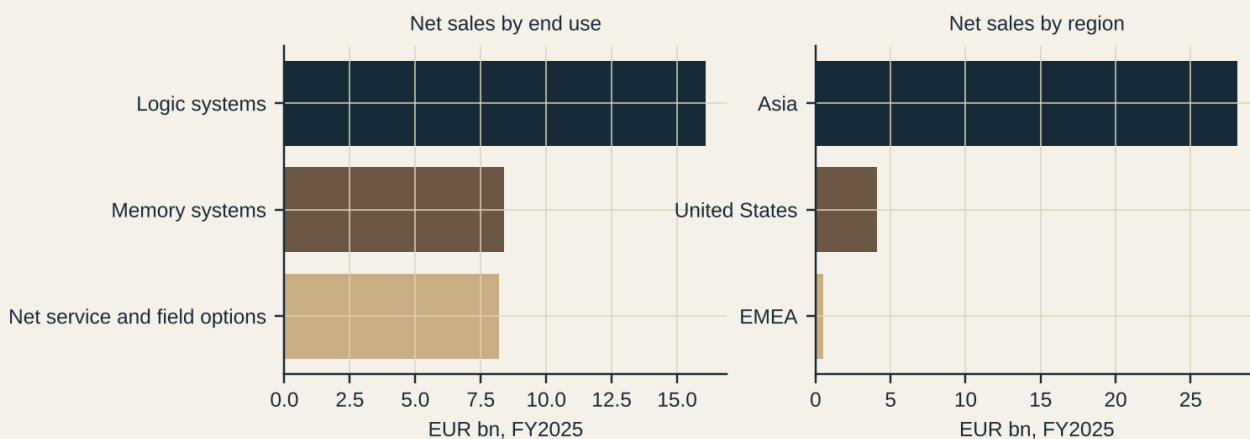
Industry definition (Sourced/Reasoned). ASML operates in semiconductor capital equipment, specifically photolithography, the step that defines transistor and wiring patterns on wafers. Lithography is the gating technology for each new chip node: every layer of an advanced chip requires an exposure, and the number of exposures per wafer rises as nodes shrink. Equipment suppliers are paid by chipmakers, who in turn are paid by device makers and cloud, handset and automotive customers.

Value chain. Chip designers (Nvidia, Apple and others) specify products; foundries and memory makers (TSMC, Samsung, SK hynix, Micron, Intel) fabricate them; equipment makers sell tools to fabs; component suppliers (optics, lasers, stages) supply the equipment makers. Value capture is highest where a supplier has no substitute. In lithography, ASML is the only source of EUV tools, so it captures a larger share of equipment spending than its cost structure alone would imply (Reasoned).

Size and cyclicality. ASML's own FY2025 net sales of EUR 32.7bn are a partial proxy for the lithography revenue pool; a total market figure for lithography is N/A (Not Retrieved). The industry is highly capital intensive, cyclical (memory most of all) and regulated through export controls. Peers' trailing revenue illustrates the scale of the wider equipment market: Applied Materials USD 30.8bn and Lam Research USD 23.2bn (Sourced, Alpha Vantage, trailing twelve months).

Stage classification (Reasoned): growing, cyclical and structurally transforming. Demand is driven by advanced logic, high-bandwidth memory and artificial-intelligence accelerators; this has pushed ASML's guided 2026 sales to EUR 43 to 45bn from EUR 32.7bn in 2025. The same industry has repeatedly shown order digestion periods, as in 2023 to 2024, when ASML's sales grew only 2.6% in 2024.

Chart 1: Net sales by end use and region, FY2025



EUR bn. Source: ASML 2025 annual report. Net service and field options EUR 8.2bn; logic EUR 16.1bn; memory EUR 8.4bn; Asia EUR 28.1bn, United States EUR 4.1bn, EMEA EUR 0.5bn.

A2. What Does the Company Do?

For a new employee: ASML makes machines that project a circuit pattern, through a mask, onto a light-sensitive layer on a silicon wafer. It sells three families of equipment plus services. EUV systems (the NXE low-NA platform, around 65 units a year of 2026 capacity, per the Q2 2026 release) print the finest layers. DUV systems (immersion and dry, about 130 immersion units of capacity) print most other layers. Metrology and inspection tools measure and check the printed pattern.

After the sale, ASML sells upgrades, spare parts and field support across the installed base, reported as installed base management (IBM) sales: EUR 2.76bn in Q2 2026 and EUR 5.25bn in H1 2026 (Sourced, Q2 2026 release).

FY2025 unit shipments were 48 EUV, 279 DUV and 208 metrology and inspection systems (Sourced, annual report). Prices per system are not itemised in the retrieved material; unit economics beyond reported averages are N/A (Not Retrieved). Customers pay deposits ahead of delivery, which shows up as large current liabilities (EUR 24.3bn at December 2025, Sourced AV). Revenue is largely non-recurring for systems and recurring for services.

CUSTOMER Foundry, logic and memory chipmakers place tool orders and pay deposits	PRODUCT AND SERVICE EUV, DUV, metrology and inspection systems; upgrades and field service	REVENUE EUR 32.7bn FY2025: systems 75%, services 25%
COSTS Cost of sales EUR 15.4bn; R&D EUR 4.7bn; SG&A EUR 1.3bn	OPERATING PROFIT EUR 11.3bn, 34.6% margin	CASH FLOW Free cash flow EUR 11.0bn after EUR 1.6bn capex
		CAPITAL ALLOCATION EUR 8.5bn returned (EUR 2.6bn dividends, EUR 5.9bn buybacks)

Of each euro of sales in FY2025, 52.8 cents were retained as gross profit, 14.4 cents went to R&D, 3.9 cents to SG&A, and 29.4 cents reached net income (Calculated). R&D is the largest controllable cost and the source of the technology lead; the service stream is the most economically stable part of the model.

A3. Business and Relationship Network

The network below is drawn from the 2025 annual report, the Board of Management disclosures and general industry knowledge (Reasoned where noted).

Branch	Relationship	Why it matters economically
Customers (Reasoned)	TSMC, Samsung, SK hynix, Micron, Intel and other leading fabs; top-customer share N/A (Not Retrieved)	Few buyers set the cycle; order timing swings revenue
Suppliers (Reasoned)	Carl Zeiss SMT (EUV optics), TRUMPF (laser components), thousands of component vendors	Single-source optics limit output and give suppliers leverage
Subsidiaries (Sourced)	Cymer (light sources), Brion (computational lithography), acquired by ASML	Vertical control of source and software supports EUV performance
Geography (Sourced)	Asia EUR 28.1bn, United States EUR 4.1bn, EMEA EUR 0.5bn in FY2025	Policy and tariff exposure sits with Asia and China
Shareholders	Insider ownership 1.6% of shares; institutions hold most of the float (Sourced, AV)	Widely held; no controlling shareholder
Competitors (Reasoned)	Canon, Nikon; adjacent: Applied Materials, Lam Research, Tokyo Electron, KLA	Competition for budgets rather than for the same tool

A4. Competition

ASML has no direct EUV competitor. In lithography proper, Canon and Nikon sell DUV and i-line steppers and scanners, and Canon promotes nanoimprint lithography as an alternative; neither supplies leading-edge immersion or EUV capacity at ASML's scale (Reasoned). In the wider equipment market, Applied Materials, Lam Research, Tokyo Electron and KLA compete for the same wafer-fab equipment budgets but sell deposition, etch, process control and other tools rather than

substitutes for lithography (Reasoned). Substitutes are limited: multi-patterning with DUV can replace some EUV layers at a higher cost; alternative patterning technologies are emerging but unproven at volume (Reasoned).

SELECTED EQUIPMENT PEERS

Company	Trailing revenue (USD bn)	Operating margin	Return on equity	Trailing P/E	EV/EBITDA
ASML	39.7	37.1%	53.9%	63.3x	49.1x
Applied Materials	30.8	33.7%	41.1%	44.2x	28.6x
Lam Research	23.2	37.4%	65.1%	56.2x	43.2x

Source: Alpha Vantage company overview, retrieved 2 October 2026. ASML revenue converted from EUR at 1.1251. Peers selected because they sell to the same fabs from the same capital budgets; fiscal years differ (Applied Materials October, Lam Research June, ASML December).

A5. Competitive Differences

Structural advantages. A sole-source position in EUV lithography built on a decades-long, supplier-intensive development programme; intellectual property across light source, optics and metrology; an installed base that generates EUR 8.2bn of annual services; and customers that co-invest in R&D. R&D of EUR 4.7bn a year (14.4% of sales) is large against any potential entrant. **Temporary advantages.** The present order cycle and the capacity ramp-up (planned 30% increase in low-NA EUV capacity for 2027, Sourced Q2 2026 release) reflect AI-driven demand that can reverse. **Disadvantages.** Customer concentration; dependence on a handful of single-source suppliers; and exposure to export rules, which constrained China sales in recent years (Reasoned).

Moat assessment (Reasoned): Very Strong. Evidence: gross margin has stayed between 49% and 54% through two cycles and operating margin between 31% and 37% since 2021, while R&D rose by 93% from EUR 2.4bn in 2021 to EUR 4.7bn in 2025 (Calculated from reported figures).

A6. Industry Trend

History (Sourced): ASML net sales grew from EUR 14.0bn in 2020 to EUR 32.7bn in 2025, a compound rate of 18.5% (Calculated). Demand drivers are AI accelerators, high-bandwidth memory and leading-edge logic nodes. Supply drivers are limited EUV capacity (about 65 low-NA units a year in 2026). The industry is best classified as growing and cyclical (Reasoned). Structural trends: more EUV layers per chip, high-NA introduction, regional fab build-outs. Temporary conditions: current order strength, inventory recovery in memory. A reversal would come from a slowdown in AI investment, tighter export controls, or a downturn in handset and PC end markets.

A7. Management

Name	Role	Background (Sourced: ASML Board of Management page)
Christophe Fouquet	President and CEO; Board member since 2018	Product and marketing roles at ASML; previously KLA Tencor and Applied Materials
Roger Dassen	EVP and CFO; since 2018	Former Deloitte audit partner and CEO of Deloitte Holding BV
Frederic Schneider-Maunoury	EVP and COO; since 2010	Joined from Alstom

Name	Role	Background (Sourced: ASML Board of Management page)
Wayne Allan	EVP, Strategic Sourcing and Procurement; since 2023	Micron Technology from 1987; ASML Customer Support from 2018
Jim Koonmen	EVP and Chief Customer Officer; since 2024	Joined via the Brion acquisition (2007); former CEO of Cymer
Marco Pieters	EVP and CTO; Board from 2026	With ASML since 1999; led Applications and EUV NXE

Assessment (Reasoned): management is technically deep and long-tenured; there is no evidence in the retrieved material of aggressive adjusted metrics. Capital allocation shows a balance of reinvestment and returns: EUR 8.5bn returned in FY2025, versus EUR 4.7bn of R&D and EUR 1.6bn of capex. Buybacks rose by EUR 5.45bn year on year (Sourced), and Q2 2026 buybacks were about EUR 1.1bn. Guidance record: the 2025 guide was exceeded as DUV sales in China proved stronger than anticipated (Sourced, CFO statement). Insider ownership is low at 1.6% (Sourced, AV), so alignment rests on compensation design, which is N/A (Not Retrieved).

B. Evaluation

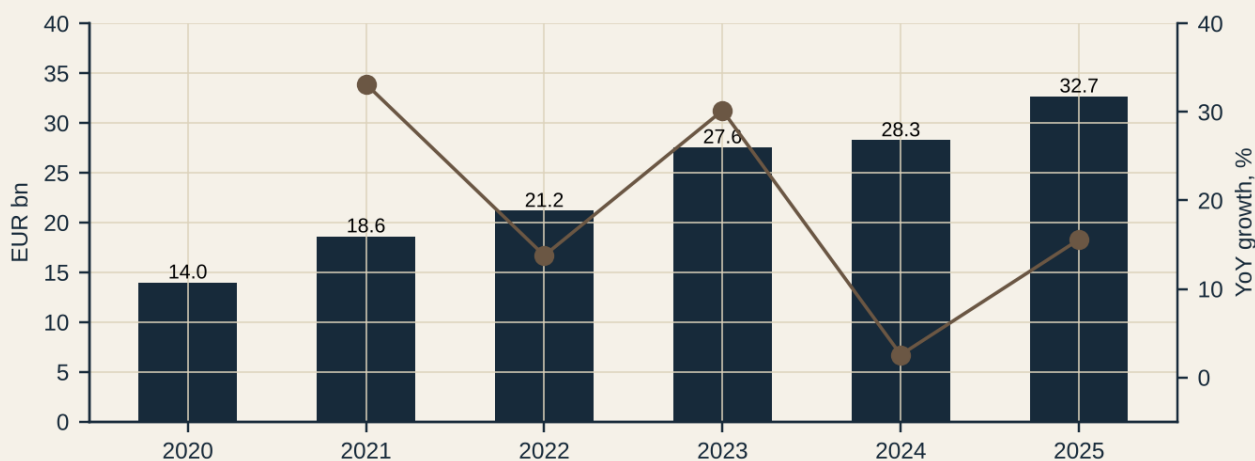
B1. Financial and Operating Metrics

MARGINS, DERIVED FROM REPORTED INCOME STATEMENTS

Profitability (EUR basis)	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025
Gross margin	47.4%	51.9%	49.5%	50.2%	49.8%	52.8%
Operating margin	29.0%	35.1%	30.7%	32.8%	31.9%	34.6%
Net margin	25.4%	31.6%	26.6%	28.4%	26.8%	29.4%

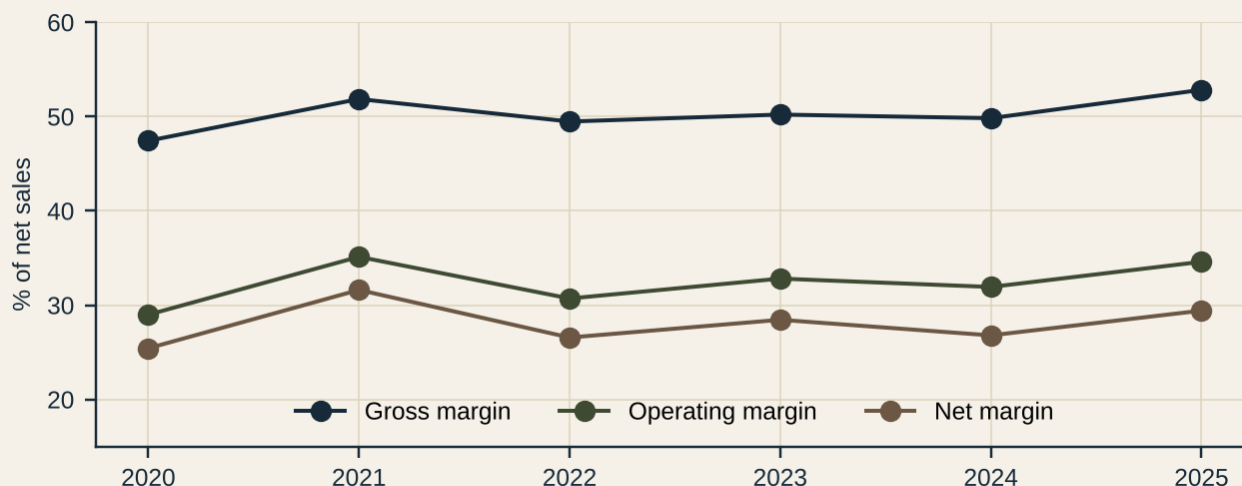
Source: Alpha Vantage fundamentals (IFRS, EUR), calculated by the analyst. Operating margin uses reported operating income.

Chart 2: Net sales and growth



EUR bn and year-on-year growth in percent, FY2020 to FY2025. Source: Alpha Vantage fundamentals, calculated growth.

Chart 3: Gross, operating and net margin



Percent of net sales, FY2020 to FY2025. Source: Alpha Vantage fundamentals, calculated.

Growth (Calculated). Revenue CAGR FY2020 to FY2025: 18.5%; FY2023 to FY2025: 8.9%. Net income CAGR FY2020 to FY2025: 22.0%. EBITDA CAGR FY2020 to FY2025: 22.4% (EUR 4.5bn to EUR 12.4bn). Free cash flow: EUR 9.1bn in FY2024 and EUR 11.0bn in FY2025, up 22%; earlier years N/A (Not Retrieved). Organic growth and currency effects are not separated in the retrieved sources.

Returns and efficiency. Return on equity (trailing) 53.9% and return on assets 16.5% (Sourced, AV). ROE is boosted by buybacks and customer deposits that lower equity relative to earnings; it should not be confused with ROIC. A simple ROIC proxy (Reasoned): FY2025 operating income of EUR 11.3bn after 17% tax gives NOPAT of about EUR 9.4bn, against invested capital (equity EUR 19.6bn plus debt EUR 2.7bn less cash EUR 12.9bn) of about EUR 9.4bn, a ratio near 100%. This is flattered by deposit-funded working capital and should be read as high, not precise. Inventory turnover on FY2025 data: cost of sales EUR 15.4bn over inventory EUR 11.4bn gives 1.35 times, reflecting long build cycles.

Leverage and cash flow. Debt to EBITDA FY2025: 0.2x on debt of EUR 2.7bn and EBITDA of EUR 12.4bn; net cash EUR 10.2bn at December 2025 and EUR 5.6bn at June 2026 after the H1 2026 buybacks, dividends and a rise in receivables (Calculated). Interest cover is about 96 times (EBIT EUR 11.4bn over interest EUR 0.12bn). FCF margin FY2025: 33.9%; OCF to net income 1.32 times; capex to revenue 4.8%. FCF yield on today's market capitalization is 1.8%.

B2. Risks

Risk	Category	Probability	Impact	Description (Reasoned)
Capital expenditure pause by logic or memory customers	Business and macro	Medium	High	Orders and revenue are cyclical; 2024 sales grew only 2.5% after a 30% rise in 2023
Export controls and China exposure	Regulatory	High	Medium to High	Asia is 86% of sales; policy changes can curtail shipments and servicing
Valuation compression	Valuation	Medium	High	Trailing P/E of 58x on euros leaves little room for disappointment
Customer concentration	Business	High	Medium	A few chipmakers decide the cycle
Supplier single-source dependence	Business	Low	High	EUV optics and lasers have no alternative source
Technology disruption, e.g. nanoimprint or alternative patterning	Technological	Low	High	Would erode pricing power over many years
Currency (EUR cost base, USD pricing and ADR)	Financial	Medium	Medium	USD/EUR moves alter euro margins and the ADR value
Interest rates and credit conditions	Macro	Medium	Medium	Higher rates delay fab investment
Geopolitical, Taiwan concentration of customers	Macro	Low	High	Disruption at leading foundries would delay installations

Ranking is by probability x impact, qualitative.

Three risks most capable of permanently impairing shareholder value (Reasoned): first, a multi-year decline in AI-related capital expenditure combined with a high starting multiple; second, a structural exclusion from China beyond what is already priced; third, a loss of the technology lead if alternative patterning displaces EUV layers.

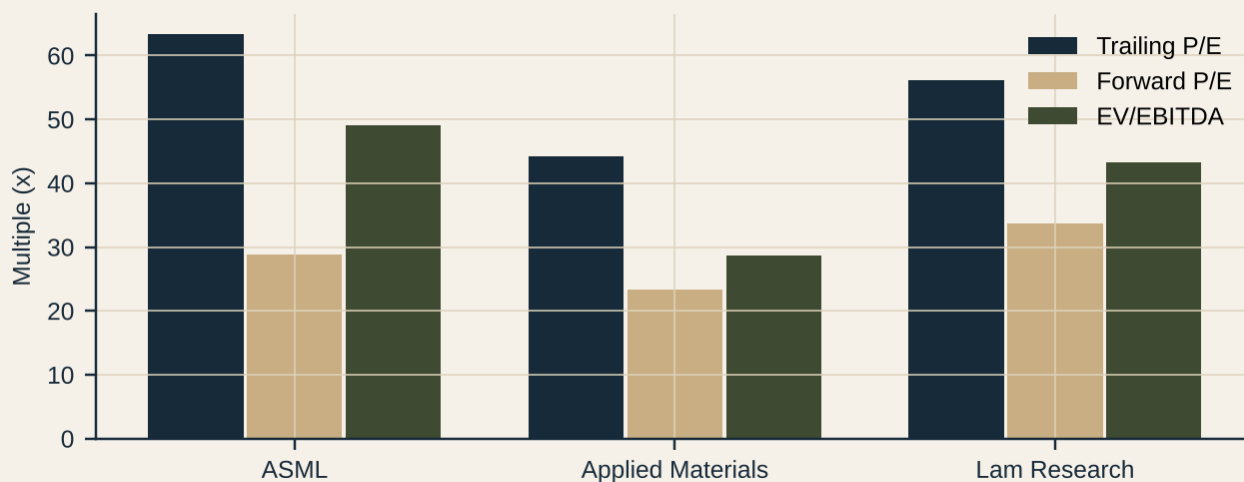
B3. Valuation

ASML VALUATION AT 1 OCTOBER 2026 CLOSE

Multiple	ASML	Basis
Market capitalization	EUR 620.0bn	USD 1,808.49 x 385.7m shares / 1.1251
Enterprise value	EUR 614.4bn	Market cap less net cash EUR 5.6bn (Q2 2026)
Trailing P/E	58.3x	TTM net income EUR 10.6bn
Forward P/E (Alpha Vantage)	28.9x	Sourced, basis not disclosed
EV/EBITDA	45.5x	TTM EBITDA EUR 13.5bn
EV/Sales	17.4x	TTM sales EUR 35.3bn
P/FCF	55.9x	FY2025 FCF EUR 11.0bn
P/Sales on 2026 guidance mid-point	14.1x	EUR 44bn guided sales
Dividend yield	0.5%	Sourced, Alpha Vantage
PEG	1.58	Sourced, Alpha Vantage

Market cap uses shares outstanding at 30 June 2026 (385.7m); minor differences to provider figures (market cap USD 695.9bn) reflect share count.

Chart 4: Peer valuation multiples



Trailing P/E, forward P/E and EV/EBITDA. Source: Alpha Vantage company overview, 2 October 2026.

Peer comparison (Sourced): ASML trades above Applied Materials on every multiple (63.3x versus 44.2x trailing P/E; 49.1x versus 28.6x EV/EBITDA) and above Lam Research on EV/EBITDA (49.1x versus 43.2x), but below it on forward P/E (28.9x versus 33.7x). Historical own-range multiples are N/A (Not Retrieved); the 5-year price chart in B4 shows that the share price has risen 143% in five years (Calculated), so current multiples sit toward the upper part of the stock's recent range (Reasoned).

What is priced in. Section C5 shows that a base-case DCF (WACC 8.5%, terminal growth 3.0%) supports about USD 939 per share and even the bull case about USD 1,154. The reverse calculation finds that, at a 7.5% WACC and 3.5% terminal growth, matching the current price needs about 14% annual sales growth for five years from EUR 44bn with operating margins rising to 46% (Reasoned). Expectations are therefore classified as Optimistic.

B4. Capital Market and Stock Analysis

PRICE PERFORMANCE TO 1 OCTOBER 2026

Period	Price return (USD)	Reference close (USD)
1 day	-0.2%	1,811.67 (30 Sep 2026)
1 week	5.0%	1,722.50 (24 Sep 2026)
1 month	6.6%	1,696.01 (31 Aug 2026)
3 months	-9.1%	1,989.44 (30 Jun 2026)
6 months	36.9%	1,320.83 (31 Mar 2026)
Year to date	69.0%	1,069.86 (31 Dec 2025)
1 year	86.8%	968.09 (30 Sep 2025)
3 years	207.2%	588.66 (29 Sep 2023)
5 years	142.7%	745.11 (30 Sep 2021)

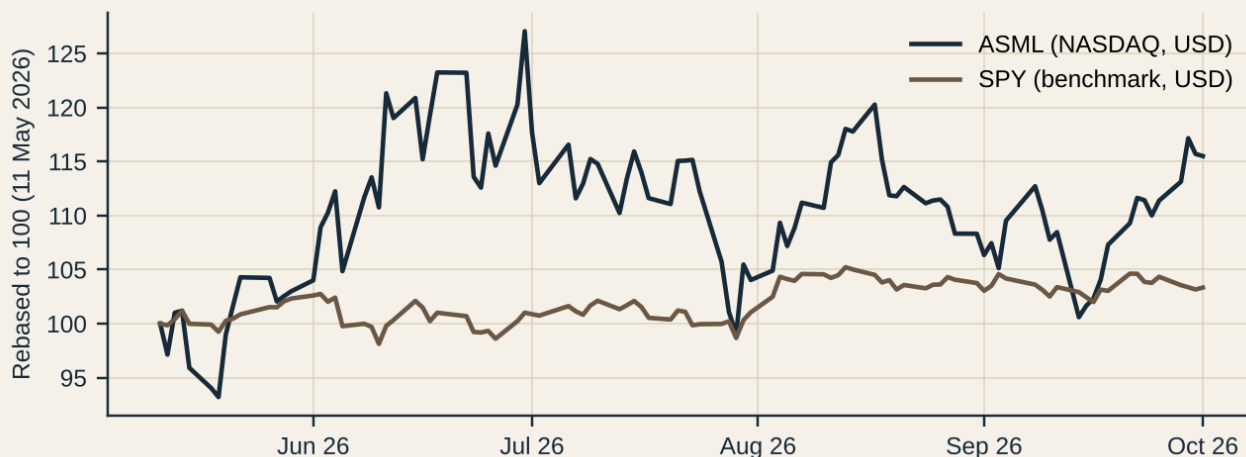
Source: Alpha Vantage daily and monthly price series; returns exclude dividends and are calculated by the analyst.

Chart 5: ASML month-end price, five years



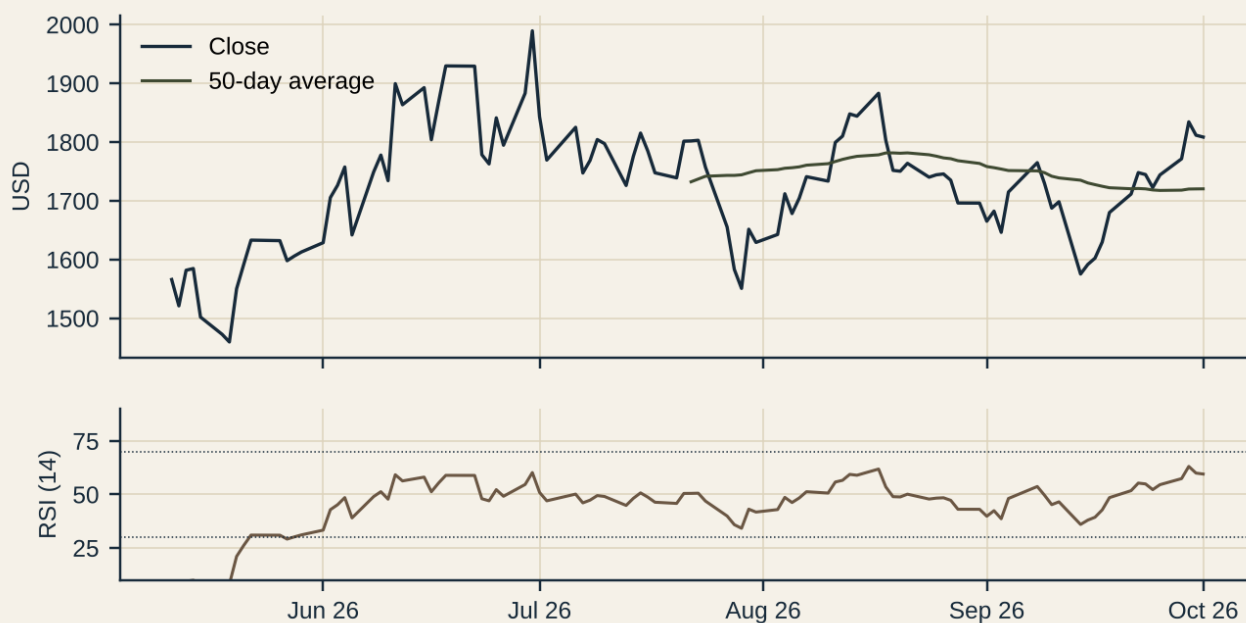
USD per share, September 2021 to September 2026. Dotted line marks the September 2022 low. Source: Alpha Vantage monthly series.

Volatility and drawdown (Calculated). Annualized volatility is 51% on the last 100 trading days and 40% on five years of monthly returns; downside volatility on the 100-day window is 33%. Maximum month-end drawdown since September 2021 was -49%, from the October 2021 peak to the September 2022 trough; the prior peak was regained by mid-2024 and the price is now more than double the 2021 high. Provider beta is 1.36 (Sourced, AV); a regression of ASML daily returns on SPY over the last 100 days gives a beta of 2.2 and a correlation of 0.54, which is a short-window figure and unreliable (Calculated).

Chart 6: Relative performance versus benchmark

Rebased to 100 on 11 May 2026. Source: Alpha Vantage daily series for ASML and SPY (S&P 500 ETF).

Over the 3 months to 1 October 2026 ASML fell 9.1% while SPY rose 2.3% (Calculated). Relative performance versus a semiconductor equipment index is N/A (Not Retrieved).

Chart 7: Price, 50-day average and RSI

USD per share and 14-day RSI, 11 May to 1 October 2026. Source: Alpha Vantage daily series; indicators calculated.

Technical structure (Reasoned). The close of USD 1,808 sits above the 50-day average (provider: USD 1,720; own calculation on 100 days: USD 1,720) and the 200-day average (USD 1,532, Sourced AV). The 14-day RSI is 60, neutral; MACD is 22.1 against a signal line of 3.8, positive. The 100-day range is USD 1,459 to USD 1,989; the high of USD 1,989 on 30 June is resistance and support lies near USD 1,575, the 14 September low close. The 14-day average absolute daily move is about USD 33. The 52-week range is USD 929 to USD 1,997 (Sourced AV). Technical strength says nothing about whether the stock is fairly priced; it describes momentum, not value.

C. Financial Statements

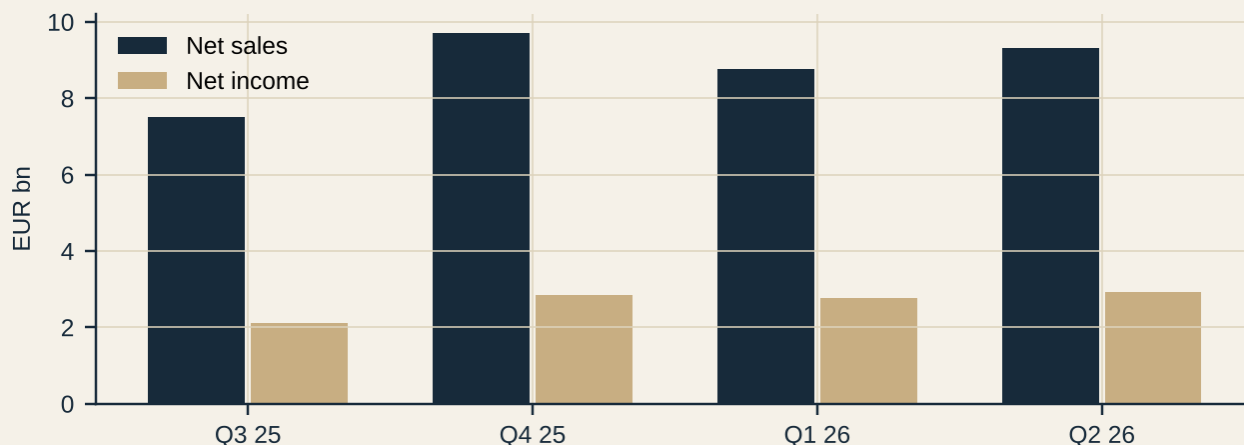
C1. Income Statement

INCOME STATEMENT SUMMARY (REPORTED, IFRS)

EUR bn	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025
Net sales	14.0	18.6	21.2	27.6	28.3	32.7
Gross profit	6.6	9.7	10.5	13.8	14.1	17.3
Operating income	4.1	6.5	6.5	9.0	9.0	11.3
Net income	3.6	5.9	5.6	7.8	7.6	9.6
R&D	2.1	2.4	3.1	3.7	3.9	4.7
SG&A	0.5	0.7	0.9	1.1	1.2	1.3
EBITDA (provider)	4.5	7.2	7.2	10.0	10.2	12.4
Net sales growth	N/A	33.1%	13.8%	30.1%	2.6%	15.6%

Source: Alpha Vantage fundamentals; growth rates calculated. EPS: FY2025 basic EUR 24.73 versus EUR 19.25 in FY2024 (ASML annual report). EBITDA is the provider definition.

Chart 8: Last four quarters, net sales and net income



EUR bn. Source: Alpha Vantage quarterly statements; Q2 2026 ASML release.

Net sales rose 15.6% in FY2025, with system sales up 12.4% and services up 26.2% (Sourced). The volume split between EUV and DUV shows EUV units up from 44 to 48 and total lithography units down from 418 to 327, so mix, not volume, drove growth (Sourced; Reasoned). Gross margin expanded 150 basis points to 52.8% on higher EUV share and service mix. R&D grew 19.2% to EUR 4.7bn (Calculated; the annual report summary quotes 9.2%, which does not reconcile to the reported figures), SG&A 7.9% to EUR 1.3bn, against sales growth of 15.6%: operating leverage lifted operating margin from 31.9% to 34.6% (Calculated). The effective tax rate was about 17.3% (Calculated). In the first half of 2026, net sales were EUR 18.1bn and net income EUR 5.7bn; Q2 gross margin was 54.0% (Sourced). Margins are expanding.

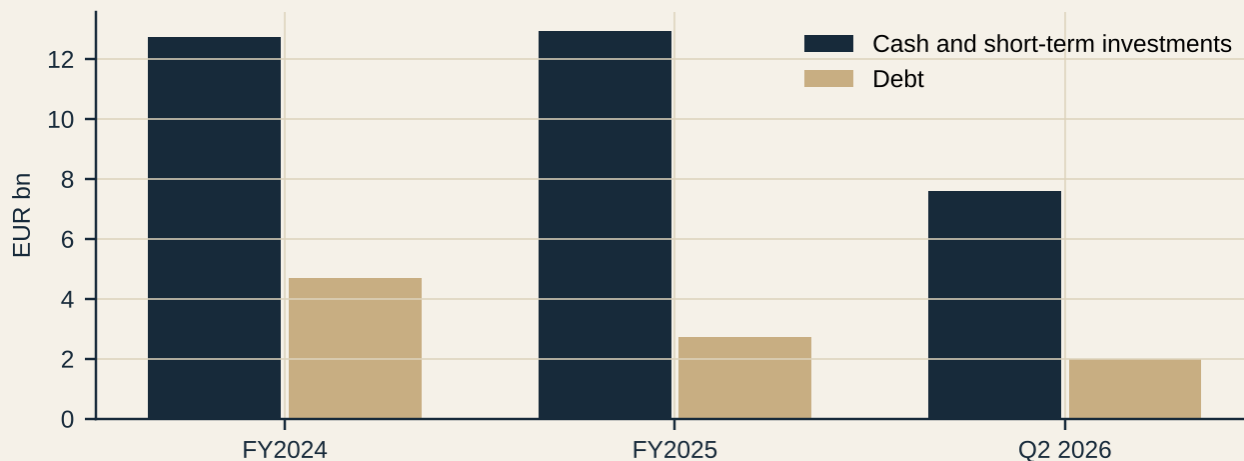
C2. Balance Sheet

CONDENSED BALANCE SHEET

EUR bn	Dec 2024	Dec 2025	Jun 2026
Cash and short-term investments	12.7	12.9	7.6
Receivables	5.4	4.2	8.7
Inventory	11.7	11.4	11.7
Goodwill	4.6	4.6	4.6
Total assets	48.6	50.6	50.2
Current liabilities	20.1	24.3	22.2
Debt (total, per provider)	4.7	2.7	2.0
Total liabilities	30.1	31.0	28.4
Shareholders equity	18.5	19.6	21.8
Net cash	8.0	10.2	5.6

Source: Alpha Vantage fundamentals (IFRS, EUR) and Q2 2026 release (cash and short-term investments of EUR 7.582bn). Cash and debt as defined by the provider; lease liabilities are not separately retrieved. Net cash calculated.

Chart 9: Cash and debt

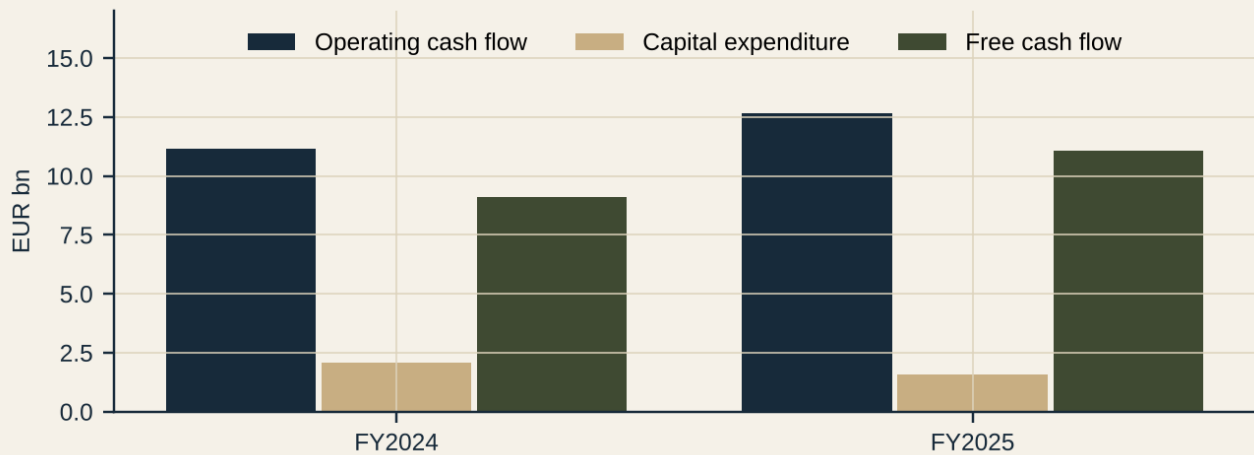


EUR bn, FY2024, FY2025 and Q2 2026. Source: Alpha Vantage fundamentals; ASML Q2 2026 release.

Liquidity is strong: current assets of EUR 29.5bn cover current liabilities of EUR 22.2bn 1.33 times at June 2026 (Calculated). Cash fell from EUR 12.9bn to EUR 7.6bn in H1 2026 as receivables rose by EUR 4.5bn, a working-capital build tied to the Q2 delivery volume (Reasoned), and cash was returned to shareholders. Equity ratio is 43% (EUR 21.8bn over EUR 50.2bn). Goodwill of EUR 4.6bn (9% of assets) is manageable. Red flags to monitor: the EUR 8.7bn receivables balance and EUR 11.7bn inventory, and deposits within current liabilities, which would reverse in a downturn. Off-balance-sheet purchase commitments are N/A (Not Retrieved).

C3. Cash Flow Statement

Chart 10: Operating cash flow, capex and free cash flow



EUR bn, FY2024 and FY2025. Source: Alpha Vantage cash flow statements. Free cash flow = operating cash flow less capital expenditure (calculated).

EUR bn	FY2024	FY2025
Operating cash flow	11.2	12.7
Capital expenditure	2.1	1.6
Free cash flow	9.1	11.1
Net income	7.6	9.6
Dividends paid	2.5	2.6
Share repurchases	0.5	5.9
FCF / net income	1.20x	1.15x

Source: Alpha Vantage fundamentals; ASML reports FY2025 free cash flow of EUR 11.0bn (rounding difference). H1 2026 operating cash flow was negative in Q1 (EUR -2.2bn) and EUR 1.7bn in Q2 (Sourced, AV quarterly), a working-capital effect, so earnings were not matched by cash in the first half of 2026.

Cash generation in FY2025 exceeded net income, helped by customer deposits and a smaller inventory build (EUR 0.8bn versus EUR 1.9bn in FY2024). In H1 2026 the pattern reversed: net income of EUR 5.7bn against operating cash flow of about negative EUR 0.5bn (Calculated from quarterly figures), because receivables and inventories absorbed cash. This is a timing item to monitor, not evidence of poor earnings quality (Reasoned). Capex intensity fell to 4.8% of sales.

C4. Forecasting and Projections

All projections are analyst assumptions (Estimates), not company forecasts, except where the company guide is quoted. Starting point: guided 2026 net sales of EUR 43 to 45bn at a 54 to 56% gross margin (Sourced, Q2 2026 release), with Q3 2026 guided at EUR 11 to 12bn and a 55 to 57% gross margin. The company's longer-term opportunity range for 2030 is EUR 44 to 60bn of sales at 56 to 60% gross margin (Sourced, 2025 annual report commentary), which the 2026 guidance has already reached at its low end; this shows how quickly the range has been approached and is a reason to treat the range as a floor of management ambition, not a forecast (Reasoned).

SCENARIO ASSUMPTIONS (ESTIMATES)

Scenario	Sales growth 2027 to 2031	Operating margin 2027 to 2031	Sales 2031 (EUR bn)	Description
Bear	4% a year	36% falling to 32%	53.5	Cyclical digestion, price pressure
Base	11% easing to 6%	38.5% rising to 40%	65.2	Capacity expansion absorbed, mix improves
Bull	15% easing to 8%	40% rising to 44%	74.7	High-NA and AI demand extend the upcycle

Working capital assumed at 25% of incremental sales; capex 4.5% and depreciation 3.5% of sales; tax 17%, in line with the FY2025 effective rate. Segment-level volume, price and mix forecasts are N/A (not disclosed at this granularity in the retrieved sources).

C5. Discounted Cash Flow (DCF) Model

Assumptions (Estimates). Base year FY2026 net sales of EUR 44bn (guidance mid-point); explicit forecast FY2027 to FY2031; tax 17%; capex 4.5% and D&A 3.5% of sales; working capital 25% of incremental sales; WACC 8.5%; terminal growth 3.0%; net cash EUR 5.6bn; 385.7m shares; USD value converted at 1.1251. Cash flows are discounted at year-end convention from a notional end-2026 start, which slightly understates present value for a valuation made in October 2026. Leases and pensions are not adjusted.

DCF CASH FLOW FORECAST

Base case, EUR bn	FY2027	FY2028	FY2029	FY2030	FY2031
Net sales	48.8	53.2	57.5	61.5	65.2
Operating margin	38.5%	38.9%	39.2%	39.6%	40.0%
Operating income	18.8	20.7	22.6	24.4	26.1
Unlevered free cash flow	13.9	15.5	17.1	18.6	20.1

DCF RESULTS

Output	Bear	Base	Bull
Present value of explicit cash flows, EUR bn	51.1	66.2	76.8
Present value of terminal value, EUR bn	164.0	250.0	313.3
Enterprise value, EUR bn	215.1	316.2	390.0
Equity value per share, EUR	572	834	1,026
Equity value per share, USD	644	939	1,154
Terminal value share of enterprise value	76.2%	79.1%	80.3%

Compared with the market enterprise value of EUR 614.4bn and share price of USD 1,808.49.

BASE CASE VALUE PER SHARE (USD): WACC AND TERMINAL GROWTH

WACC \ terminal growth	2.0%	2.5%	3.0%	3.5%	4.0%
7.0%	1,069	1,169	1,293	1,452	1,665

WACC \ terminal growth	2.0%	2.5%	3.0%	3.5%	4.0%
7.5%	971	1,051	1,149	1,270	1,427
8.0%	890	955	1,033	1,129	1,248
8.5%	821	875	939	1,016	1,109
9.0%	761	807	860	923	998
9.5%	710	749	794	846	908

Calculated by the analyst. Terminal value dominates; small WACC changes move value by 20 to 30%.

VALUE PER SHARE (USD): CONSTANT SALES GROWTH AND MARGIN FOR FY2027 TO FY2031 (WACC 8.5%, TERMINAL GROWTH 3.0%)

Sales growth \ operating margin	34%	38%	42%	46%
4% a year	676	759	842	926
7% a year	747	842	937	1,032
10% a year	825	933	1,041	1,148
13% a year	910	1,032	1,154	1,276

Calculated by the analyst.

Interpretation. The model produces a valuation range of roughly USD 644 to USD 1,154 per share across scenarios, with the base case near USD 939, versus a market price of USD 1,808. This is a range, not a point estimate. The gap shows that the market is using a lower discount rate, a faster growth path or a longer high-growth period than these assumptions; it also reflects that the explicit horizon ends in FY2031 while the business may compound for longer. The reverse calculation shows what is required. Treat the DCF as a tool for testing expectations.

C6. Leveraged Buyout (LBO) Model

Not applicable. At an enterprise value of about EUR 614bn, a leveraged buyout of ASML is not realistic, and the sole-source, strategically sensitive nature of its technology makes a financial-sponsor transaction implausible (Reasoned).

D. Investment Thesis

Bull Case

Orders convert into sales faster than guided, so that 2027 sales approach EUR 49 to 50bn, with the guided 55 to 57% gross margin sustained as EUV mix and service revenue rise. High-NA tools enter volume production, share of EUV layers per chip rises, and memory makers add capacity. Operating margin moves toward 40 to 44%. In the bull DCF the value per share is USD 1,154; a market price above that would still require a longer or stronger growth path (Estimates).

Bear Case

AI-related capital expenditure slows, memory prices fall and customers digest installed capacity. Sales growth falls to the low single digits, as in FY2024 (+2.6%); gross margin compresses toward the mid-forties and operating margin toward 32%; export controls restrict DUV and service revenue in China. A compression of the multiple would multiply the effect: the bear DCF indicates about USD 644 per share, and a stock priced at 63 times trailing earnings could see a substantial drawdown, as in 2022 when the price fell 49% peak to trough (Estimates).

Base Case

Sales of EUR 44bn in 2026, rising 11% in 2027 and then easing to 6% by 2031, with a 38.5% to 40% operating margin, capex near 4.5% of sales and continued shareholder returns of EUR 8 to 9bn a year. This gives about USD 939 per share on the DCF and a business that remains financially excellent; the investment question is the price paid, not the quality of the business (Estimates).

Catalysts

Quarterly results (next report for Q3 2026, with guidance of EUR 11 to 12bn); capacity expansion of 30% for low-NA EUV in 2027; High-NA adoption announcements; export-control decisions; buyback execution; customer capital expenditure guidance at TSMC, Samsung, SK hynix and Micron (Reasoned).

Things to Monitor

Metric or event	Why it matters	Positive	Negative
Quarterly sales and gross margin	Test of 2026 guide (EUR 43 to 45bn; 54 to 56%)	Above guide	Below guide or margin under 53%
Receivables and inventory	H1 2026 cash flow was negative on working capital	Receivables convert to cash	Further build without sales
EUV capacity and shipments	Capacity rises 30% in 2027	Shipments follow capacity	Customers delay tools
China share of sales	Policy risk	Stable under rules	New restrictions
Customer capital expenditure	Drives orders	Raised budgets	Cuts or deferrals
Gross margin	Quality of mix	Toward 56 to 57%	Below 52%
Valuation multiple	Expectation risk	Earnings growth outpaces price	Price outpaces earnings

E. Final Investment Framework

Dimension	Assessment
Business Quality	Very high. A sole-source supplier of a mission-critical machine with a EUR 8.2bn recurring service base.
Financial Quality	High. 52.8% gross margin, 34.6% operating margin and EUR 11.0bn free cash flow in FY2025; a negative-cash first half in 2026 reflects working capital.
Competitive Position	Very strong in EUV; strong in advanced DUV immersion; no scale competitor.
Management	Competent, technically deep and long-tenured; low insider ownership (1.6%).
Industry	Growing and cyclical, driven by AI and memory; policy-sensitive.
Valuation	Demanding: trailing P/E 58x on euro earnings, base DCF well below the market price, forward P/E of 28.9x.
Technical and Market Structure	Uptrend above 50-day and 200-day averages, high volatility (51% annualized), neutral RSI.
Principal Risk	A downturn in AI-driven capital expenditure from a high multiple.
Principal Catalyst	Delivery of the EUR 43 to 45bn 2026 guide and a 30% EUV capacity expansion for 2027.
Key Variable	Customer capital expenditure on leading-edge logic and memory capacity.

THESIS INVALIDATION

The investment thesis would become materially weaker if quarterly gross margin fell below 52% for two consecutive quarters, if guided sales for the following year came in below EUR 40bn, if net orders from leading customers fell materially, if export controls extended to the majority of Asian sales, or if the share price rose to levels requiring sales growth materially above those implied by the bull case in Section C5.

F. Data Table

COMPANY SNAPSHOT

Category	Metric	Current	Prior year	Trend
Market	Market cap	EUR 620bn	N/A	N/A
Market	Enterprise value	EUR 614bn	N/A	N/A
Market	Share price (USD)	1,808.49	968.09 (30 Sep 2025)	5Y +143%
Growth	Revenue growth (FY)	15.6%	2.6%	5Y CAGR 18.5%
Profitability	Gross margin	52.8%	49.8%	Rising
Profitability	Operating margin	34.6%	31.9%	Rising
Profitability	Net margin	29.4%	26.8%	Rising
Profitability	ROE (trailing)	53.9%	N/A	N/A
Profitability	ROIC	Not Retrieved	N/A	N/A
Cash flow	Operating cash flow (FY)	EUR 12.7bn	EUR 11.2bn	Rising
Cash flow	Free cash flow (FY)	EUR 11.1bn	EUR 9.1bn	Rising
Leverage	Net debt / EBITDA	Net cash	Net cash	Net cash
Valuation	P/E (trailing)	58.3x	N/A	N/A
Valuation	EV/EBITDA	45.5x	N/A	N/A
Valuation	P/FCF (FY2025)	55.9x	N/A	N/A
Market	Beta (provider)	1.36	N/A	N/A
Market	Volatility (annualized)	51%	N/A	Monthly 5Y: 40%
Market	Maximum drawdown (5Y, month-end)	-49%	N/A	Sep 2022 trough

Operating cash flow and free cash flow as retrieved from Alpha Vantage; the company reports FY2025 free cash flow of EUR 11.0bn. EUR figures from IFRS statements; USD price from NASDAQ.

G. Sources and Methodology

Primary Sources

ASML Holding N.V.: Q2 2026 financial results press release

Quarter ended 30 June 2026 | <https://investor.asml.com/news-releases/news-release-details/q2-2026-financial-results> | Q2 net sales, gross margin, IBM sales, guidance, buyback, dividend, capacity plans

ASML Holding N.V. (SEC Form 6-K): Press release financial results Q2 2026

Q2 2026 | <https://www.sec.gov/Archives/edgar/data/0000937966/000162828026048235/pressreleasefinancialresul.htm> | Q1 and Q2 2026 net sales, gross profit, net income and IBM sales

ASML Holding N.V.: 2025 Annual Report: financial performance

FY2025 | <https://investor.asml.com/annual-reports/2025> | Net sales by region, unit shipments, employees, returns to shareholders

ASML Holding N.V.: 2025 Annual Report: Message from our CFO

FY2025 | <https://www.asml.com/en/investors/annual-report/2025/financials> | Net sales by end use, gross margin, 2026 outlook, 2030 opportunity range

ASML Holding N.V.: 2025 Annual Report: financial performance section (PDF)

FY2025 | <https://ourbrand.asml.com/m/419103cb23dfeaa4/original/asml-2025-annual-report-financial-performance-section.pdf> | Free cash flow, EPS, EUV and lithography unit counts

ASML Holding N.V.: Board of Management

Accessed 2 October 2026 | <https://www.asml.com/en/company/governance/board-of-management> | Management roles, tenure and background

ASML Holding N.V.: ASML appoints next Chief Technology Officer

2026 | <https://investor.asml.com/news-releases/news-release-details/asml-appoints-next-chief-technology-officer> | CTO appointment

Secondary Sources and Market Data

Alpha Vantage: Daily and monthly price series for ASML and SPY; company overview for ASML, AMAT, LRCX; income statement, balance sheet and cash flow statements for ASML; EUR/USD exchange rate

Retrieved 2 October 2026 | <https://www.alphavantage.co/documentation/> | Prices, volume, trailing multiples, beta, analyst data, reported financial statements, exchange rate

Calculations

Calculated by the analyst from the sources above: margins, growth rates and CAGRs, trailing twelve-month totals, net cash, enterprise value, multiples, price returns, volatility, drawdown, RSI, MACD and moving averages, free cash flow, DCF, scenarios and sensitivities. Where the provider and company figures differ by rounding (for example free cash flow), the company-reported figure is preferred in text and the provider figure used in tables. Market capitalization uses 385.7m shares at 30 June 2026 and may differ slightly from provider figures. Statements are in EUR; the New York share price is in USD, and conversion uses EUR/USD 1.1251. Items marked N/A or Not Retrieved were not available from the sources consulted.

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